

for example, and only a small circle of investing cognoscenti recognized the name of his teacher at Columbia, Ben Graham.

The world of fixed income bore little resemblance to that of today. There was no way for bondholders to avoid uncertainty regarding the rate at which interest payments could be reinvested, because zero-coupon bonds had not been invented. Bonds rated below investment grade couldn't be issued as such (rating agency Moody's described a B-rated bond as "fails to possess the characteristics of a desirable investment"). The low-rated bonds that were outstanding were "fallen angels"—former investment-grade bonds whose issuers had gotten into trouble and been downgraded—and they had yet to be labeled "junk" or "high yield" bonds. Of course, there were no leveraged loans, mortgage-backed securities (MBSs), or collateralized bond, debt, and loan obligations. Today's bond professionals might give some thought to how their predecessors arrived at yields to maturity before the existence of computers, calculators, or Bloomberg terminals.

I'm lucky to have begun my studies in the mid-1960s, because the finance and investment theory I would go on to learn at the University of Chicago Graduate School of Business was new and hadn't yet spread broadly. Thus my time spent at Wharton didn't include exposure to the Efficient Market Hypothesis, which told the next few generations of students of finance that there was no use for *Security Analysis*: a guidebook to the impossible task of beating the market.

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I learned a lot from this book, which was generally accepted in 1965 as "the bible of security analysis" and still is. Yet I came away with a negative reaction as well, feeling that it contained too much dogma and too many formulas incorporating numerical constants like "multiply by x " or "count only y years."